

9	Herrick v. TTE Technology, Inc. 2025-01535413	<u>Defendant TTE Technology, Inc.’s Demurrer to First Amended Class Action Complaint</u> Defendant TTE Technology, Inc. d/b/a TCL North America (TCL) demurs to the six causes of action in plaintiff Stephan Herrick’s first amended class action complaint. For the following reasons, TCL’s demurrer is sustained in part and overruled in part. In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. <i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318. A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader’s ability to prove those allegations. <i>Cundiff v. GTE Cal., Inc.</i> (2002) 101 Cal.App.4th 1395, 1404-05. Questions of fact cannot be decided on demurrer. <i>Berryman v. Merit Prop. Mgmt., Inc.</i> (2007) 152 Cal.App.4th 1544, 1556. Because a demurrer tests only the sufficiency of the complaint, a court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. <i>Hall v. Great W. Bank</i> (1991) 231 Cal.App.3d 713, 718 n.7. Plaintiff alleges claims individually and on behalf of a proposed class of California residents who purchased TCL QLED televisions. Plaintiff alleges TCL’s QLED televisions do not have the advertised QLED technology or include “negligible amounts” of the technology so as to not provide the advertised benefits. First Amended Complaint ¶ 3. Plaintiff alleges TCL advertises its televisions include QLED technology in order to charge a premium price to consumers. <i>Id.</i> ¶ 6. <i>First, second and third causes of action</i> Plaintiff’s <u>first cause of action</u> alleges violation of the Unfair Competition Law (UCL), Business & Professions Code section 17200 et seq. The UCL prohibits “any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising.” The UCL’s scope is broad and does not proscribe specific practices but defines “unfair competition” to include “any unlawful, unfair, or fraudulent business act or practice.” <i>Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.</i> (1999) 20 Cal.4th 163, 180. Because the statute is written in the disjunctive, there are three varieties of unfair competition: (1) unlawful acts or practices; (2) unfair acts or practices; and (3) fraudulent acts or practices. <i>Id.</i> Plaintiff alleges TCL violated the UCL (i) by violating the False Advertising Law and the Consumer Legal Remedies Act; (ii) by “making statements about the quantum dot technology used in its televisions that are likely to deceive consumers and deceived plaintiff”; (iii) because “the acts and practices set forth in the complaint offend established policy and harm plaintiff and the class as well as competition”; and (iv) because “the acts and practices set forth in the complaint regarding their misrepresentation and untrue statements to plaintiff and the class are intended to deceive them and influence the plaintiff’s and the class members’ decision
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to purchase TCL's televisions." First Amended Complaint ¶¶ 92-95. Plaintiff alleges TCL's violation of the UCL injured plaintiff and the class "because they paid more for their televisions than they otherwise would have paid absent TCL's deceptive practices." *Id.* ¶ 96.

Plaintiff's second cause of action alleges violation the False Advertising Law (FAL). The FAL makes it unlawful "for any person, firm, corporation or association, or any employee thereof with intent directly or indirectly to dispose of real or personal property or to perform services, professional or otherwise, or anything of any nature whatsoever or to induce the public to enter into any obligation relating thereto, to make or disseminate or cause to be made or disseminated before the public in this state, or to make or disseminate or cause to be made or disseminated from this state before the public in any state, in any newspaper or other publication, or any advertising device, or by public outcry or proclamation, or in any other manner or means whatever, including over the Internet, any statement, concerning that real or personal property or those services, professional or otherwise, or concerning any circumstance or matter of fact connected with the proposed performance or disposition thereof, which is untrue or misleading, and which is known, or which by the exercise of reasonable care should be known, to be untrue or misleading, or for any person, firm, or corporation to so make or disseminate or cause to be so made or disseminated any such statement as part of a plan or scheme with the intent not to sell that personal property or those services, professional or otherwise, so advertised at the price stated therein, or as so advertised." Bus. & Prof. Code § 17500.

Plaintiff alleges TCL violated the FAL by "caus[ing] to be made or disseminat[ing] throughout California and the United States, through advertising, marketing, and other publications, statements that were untrue or misleading, and which were known, or which by exercise of reasonable care should have been known to TCL, to be untrue and misleading to consumers, including plaintiffs and other class members." First Amended Complaint ¶ 105. Plaintiff alleges TCL misrepresented the technology and materials used in its QLED televisions. *Id.* ¶ 106. Plaintiff alleges TCL's violation of the FAL injured plaintiff and the putative class members by causing them to purchase televisions they otherwise would not have purchased or by paying more for televisions than they should have paid. *Id.* ¶ 107.

Plaintiff's third cause of action alleges violation of the Consumers Legal Remedies Act (CLRA). The CLRA prohibits unfair or deceptive acts that "result[] in the sale or lease of goods or services to any consumer" Civ. Code § 1770(a). The CLRA prohibits several distinct unfair methods of competition and unfair or deceptive acts or practices with regard to consumer transactions. *Id.*

Plaintiff alleges TCL violated the CLRA by representing that its televisions have characteristics, uses, or benefits that they do not have; by representing that its televisions are of a particular standard, quality, or grade, when they are not; and by advertising

its televisions with intent not to sell them as advertised. First Amended Complaint ¶¶ 116-118.

TCL argues plaintiff's first, second and third causes of action do not state claims because "TCL's marketing is not likely to mislead a reasonable consumer." Brief (ROA 46) at 14:15-16. Plaintiff alleges sufficient facts to state claims for violation of the UCL, the FAL and the CLRA. TCL's factually-intensive arguments regarding whether its marketing is likely to mislead a reasonable consumer cannot be resolved on demurrer. *Berryman*, 152 Cal.App.4th at 1556.

TCL also argues plaintiff's UCL cause of action is "conclusory and duplicative" and does not state a claim under the "unlawful" prong. As plaintiff has alleged sufficient facts to state claims for violation of the FAL and the CLRA, plaintiff thus has alleged sufficient facts to state a claim for violation of the UCL. The demurrers to the first, second and third causes of action are overruled.

Fourth cause of action

Plaintiff's fourth cause of action alleges unjust enrichment. Plaintiff alleges TCL's misrepresentations allowed it to sell its televisions at a higher price than that for which the televisions otherwise should have sold, causing TCL to earn profits to which it was not entitled, thereby unjustly enriching TCL. First Amended Complaint ¶¶ 135-136.

"The elements for a claim of unjust enrichment are 'receipt of a benefit and unjust retention of the benefit at the expense of another.' [Citation.] 'The theory of unjust enrichment requires one who acquires a benefit which may not justly be retained, to return either the thing or its equivalent to the aggrieved party so as not to be unjustly enriched.'" *Lyles v. Sangadeo-Patel* (2014) 225 Cal.App.4th 759, 769.

Some courts have held that unjust enrichment is not a cause of action (see *Levine v. Blue Shield of California* (2010) 189 Cal.App.4th 1117, 1138; *Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1370), and other courts have recognized it as a cause of action (see *Peterson v. Cellco Partnership* (2008) 164 Cal.App.4th 1583, 1593; *Professional Tax Appeal v. Kennedy-Wilson Holdings, Inc.* (2018) 29 Cal.App.5th 230, 238; *Lyles*, 225 Cal.App.4th at 769).

Sepanossian v. National Ready Mixed Concrete Co. (2023) 97 Cal.App.5th 192, held on a motion for judgment on the pleadings that where a plaintiff states a claim for violation of the UCL under the fraudulent and unfairness prongs, a claim for unjust enrichment is unnecessary:

"More fundamentally, '[b]ecause we have found that [Sepanossian's] remedies at law are adequate' (i.e., his count alleged under the UCL), a separate claim for restitution is unnecessary. (*Collins v. eMachines, Inc.* (2011) 202 Cal.App.4th 249, 260, 134 Cal.Rptr.3d 588 (*Collins*) [on review of a successful

motion for judgment on the pleadings, where appellate court determined plaintiffs stated valid claims under the UCL, Consumers Legal Remedies Act, and fraud, “a claim for restitution, alleging that [defendant] has been unjustly enriched by its fraud, is unnecessary”).) ‘This conclusion follows from the general principle of equity that equitable relief (such as restitution) will not be given when the plaintiff’s remedies at law are adequate.’ (*Ibid.*)

“Here, the gravamen of Sepanossian’s unjust enrichment claim is that Ready Mix was unjustly enriched by customers paying fees that were fraudulent and unfair under the UCL, and that such customers are entitled to recover those fees from Ready Mix. The unjust enrichment claim merely incorporates the allegations, derivative of the UCL claim, that Ready Mix received a financial advantage—money obtained from misleadingly named fees charged to its customers—which it unjustly retained at their expense. Restitution is already an available remedy under the UCL cause of action, within the broad equitable discretion of the trial court. (See § 17203 [restitution is available “to restore to any person in interest any money or property . . . which may have been acquired by means of such unfair competition”]; see also *In re Tobacco Cases II* (2015) 240 Cal.App.4th 779, 790, 192 Cal.Rptr.3d 881.) Thus, a separate claim is unnecessary for Sepanossian to recover restitution. ‘In light of the adequate legal remedies, we conclude the complaint does not state a claim for restitution based on unjust enrichment.’ (*Collins, supra*, 202 Cal.App.4th at p. 260, 134 Cal.Rptr.3d 588.)”

Sepanossian, 97 Cal.App.5th at 207-08.

Here, the gravamen of plaintiff’s unjust enrichment claim is that defendant was unjustly enriched by plaintiff and the putative class paying more for televisions because TCL advertised and sold televisions with false display technology specifications, and that plaintiff and the putative class are entitled to recover the extra profits from TCL. First Amended Complaint ¶¶ 133-138. The unjust enrichment claim incorporates the allegations, derivative of the UCL, FAL and CLRA claims, that TCL received a financial benefit—money obtained from overpriced televisions—which it unjustly retained at plaintiff’s and the putative class members’ expense. The demurrer to the fourth cause of action for unjust enrichment is sustained with leave to amend.

Fifth cause of action

Plaintiff’s fifth cause of action alleges fraud by concealment. Plaintiff alleges TCL failed to disclose and/or concealed material facts, which induced plaintiff and the putative class members to purchase televisions they otherwise would not have purchased or to pay more than they otherwise would have paid for the televisions. First Amended Complaint ¶¶ 140-141.

Concealment is a species of fraud or deceit. *Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 868. The elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or

suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage. *Id.*

Plaintiff does not allege TCL was under a duty to disclose any allegedly concealed fact to plaintiff. Plaintiff accordingly has not stated a claim for fraud by concealment. The demurrer to the fifth cause of action for fraud is sustained with leave to amend.

Sixth cause of action

Plaintiff's sixth cause of action, entitled "negligent misrepresentation," alleges TCL failed to disclose and/or concealed material facts regarding the display technology of its televisions. First Amended Complaint ¶¶ 145-146.

The tort of negligent misrepresentation extends only to affirmative statements or positive assertions. There is no liability for implied representations or negligent concealment. *Wilson v. Century 21 Great Western Realty* (1993) 15 Cal.App.4th 298, 306 (negligent misrepresentation is a species of fraud or deceit specifically requiring a "positive assertion" or an "assertion" of fact); *Byrum v. Brand* (1990) 219 Cal.App.3d 926, 942 ("for a cause of action for negligent misrepresentation, clearly a representation is an essential element"). The demurrer to the sixth cause of action is sustained with leave to amend.

Punitive damages

TCL argues plaintiff's prayer for punitive damages on the CLRA claim "fails" because plaintiff has not stated a claim for violation of the CLRA. As stated above, TCL's demurrer to the CLRA claim is overruled. TCL's demurrer to plaintiff's prayer for punitive damages is thus also overruled.

TCL's unopposed Request for Judicial Notice (ROA 48) is granted as to documents cited in the first amended complaint, although none of the documents of which TCL seeks judicial notice was material to the disposition of the demurrer.

Should plaintiff desire to file an amended complaint addressing the issues in this ruling, plaintiff must file and serve it by May 26, 2026.

Plaintiff to give notice.

Status conference

The court has reviewed the parties' joint initial case management conference statement filed May 7, 2026 (ROA 111), based thereon continues the May 14, 2026 status conference to September 3, 2026 at 9:00 a.m. in Department CX105.

		The parties are ordered to file a joint status conference statement at least 5 court days before the hearing. Clerk to give notice.
10	Hinson v. Niterra North America, Inc. 2023-01345470	<u>Plaintiff's Motion for Final Approval of Class Action and PAGA Settlement</u> The court has reviewed and considered the papers filed in support of plaintiff's motion for final approval of an \$375,000 class action and PAGA settlement. Subject to plaintiff's submission of the documents identified below, the court grants the motion as follows: \$5,000.00 for enhancement award to plaintiff; \$112,500.00 for attorneys' fees; \$19,914.60 for litigation costs (see No. 1 below); \$7,750.00 for settlement administration costs; and \$20,000.00 total PAGA penalties (\$15,000.00 to the LWDA). 1. Plaintiff's counsel is ordered to file with the court <u>by May 21, 2026</u> an itemized list of the costs set forth in paragraph 23 of the Bokhour Declaration (ROA 138). The final accounting hearing is scheduled for <u>December 10, 2026 at 9:00 a.m.</u> in Department CX105. Plaintiff shall submit a final accounting report at least 9 court days before the final accounting hearing regarding the status of the settlement administration. The final report must include all information necessary for the court to determine the total amount actually paid to class members and aggrieved employees and any amounts tendered to the State Controller's Office under the unclaimed property law. Plaintiff is ordered to give notice, including to the LWDA, and to file a proof of service.
11	Kimco Staffing Data Breach Cases JCCP 5321	<u>Plaintiffs' Motion for Preliminary Approval of Class Action Settlement</u> The court has reviewed and considered the papers, including the supplemental papers, filed in support of plaintiffs' motion for preliminary approval of a data breach class action settlement with total settlement consideration of \$1,040,000, comprised of a \$640,000 settlement fund and "remedial Business Practice Enhancements" with an asserted value of \$400,000. Subject to plaintiffs' submission of the documents identified below, the court grants the motion as follows: \$2,500.00 for each named plaintiff's enhancement award (not to exceed; together, total not to exceed \$10,000.00); \$192,000.00 for attorneys' fees (not to exceed 30% of \$640,000.00); \$30,000.00 for litigation costs (not to exceed); and \$97,000.00 for settlement administration costs (not to exceed).